MODI GOVT BETS BIG ON SEMICON

With chip demand surging and import costs mounting, the Modi govt launched the India Semiconductor Mission (ISM) to position the country as a global manufacturing hub

MISSION AIMS

- **Build the entire semiconductor ecosystem** from scratch—fabs to assembly, testing and packaging—in India
- **Cut import dependence** and make India a trusted global design and manufacturing hub
- **Boost security** by localising chip production, securing supply chains
- **Power the digital economy** as chips underpin everything from smartphones, EVs to AI, defence and industrial systems

LAUNCHED ON
Dec. 21, 2021

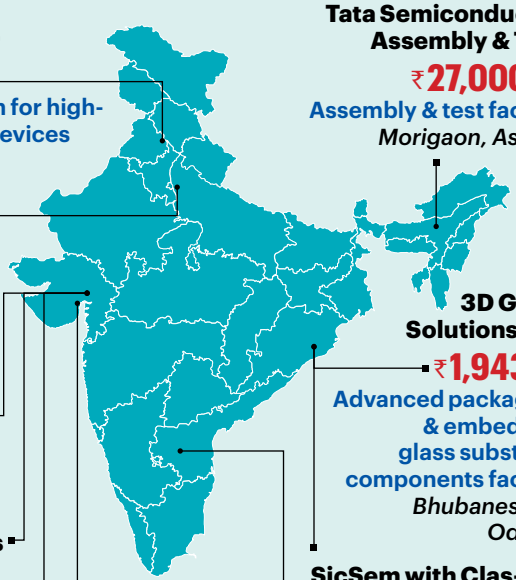
CENTRAL OUTLAY
₹76,000 CR.

GOVT INCENTIVES

- The Centre is offering to **cover 50% of project costs** on a *pari-passu* basis—matching private investment proportionately—to companies setting up semiconductor facilities
- This is **given as grants** to private players, excluding state govt contributions
- States like Gujarat and Odisha are offering **additional incentives of 20-25%**
- The Design Linked Incentive (DLI) scheme with an **outlay of Rs 1,000 cr.** supports start-ups financially along with access to design tools for them and for academic institutions

THE KEY PRIVATE PLAYERS

With four more plants approved by the Union cabinet in August 2025, the total number of projects under the ISM has risen to 10 across six states. Cumulative investments stand at Rs 1.6 lakh cr.



Continental Device India Limited (CDIL)
₹117 CR.
Brownfield expansion for high-power Silicon & SiC devices
Mohali, Punjab

HCL with Foxconn, Taiwan
₹3,700 CR.
Display driver chips production unit
Jewar, Uttar Pradesh

Micron, US
₹22,516 CR.
ATMP facility
Sanand, Gujarat

Murugappa Group's CG Semi with Renesas Electronics, Japan & Stars Microelectronics, Thailand
₹7,600 CR.
OSAT facility
Sanand, Gujarat

Kaynes Semicon with UST Global, US
₹3,300 CR.
OSAT facility
Sanand, Gujarat

Tata Electronics with Powerchip Semiconductor Manufacturing Corp, Taiwan
₹91,000 CR.
Fabrication facility
Dholera, Gujarat

Tata Semiconductor Assembly & Test
₹27,000 CR.
Assembly & test facility
Morigaon, Assam

3D Glass Solutions, US
₹1,943 CR.
Advanced packaging & embedded glass substrate components facility
Bhubaneswar, Odisha

SicSem with Clas-SiC Wafer Fab, UK
₹2,066 CR.
Silicon Carbide (SiC) wafer fab & ATMP facility
Bhubaneswar, Odisha

ASIP Technologies with APACT, South Korea
₹468 CR.
Packaging & assembly unit
Andhra Pradesh

Source: MeitY

ATMP: *Assembly, Testing, Marking & Packaging*
OSAT: *Outsourced Semiconductor Assembly & Test*

Graphics by TANMOY CHAKRABORTY



CRAFTING THE FUTURE Technicians at work inside CDIL's Mohali facility